(i) When there is a change in the profit sharing ratio

(ii) When a new partner is admitted into a firm

(iii) When an existing partner retires from the firm or when a partner dies

(iv) When a partnership firm is dissolved

4.5 Classification of goodwill

Goodwill may be classified into acquired goodwill and self-generated goodwill.

(i) Acquired or purchased goodwill

Goodwill acquired by making payment in cash or kind is called acquired or purchased goodwill. When a firm purchases an existing business, the price paid for purchase of such business may exceed the net assets (Assets – Liabilities) of the business acquired. The excess of purchase consideration over the value of net assets acquired is treated as acquired goodwill. The Indian Accounting Standard 10 (AS10) on accounting for fixed assets states that goodwill must be recorded in the books of accounts only when some consideration in money or money's worth has been paid for it. Therefore, acquired goodwill can be recorded in the books of accounts and is shown on the assets side of the balance sheet under fixed assets.

(ii) Self-generated goodwill

It is the goodwill which is self generated by a firm based on features of the business such as favourable location, loyal customers, etc. Such self-generated goodwill cannot be recorded in the books of accounts.

4.6 Methods of valuation of goodwill

Following are the methods generally followed to value goodwill:

4.6.1 Average profit method

Under this method, goodwill is calculated as certain years of purchase of average profits of the past few years. The number of years of purchase is generally determined on the basis of the average period a new business will take in order to bring it to the current state of the existing business. It may also be determined on the basis of the number of years for which the past average profit will be earned in future.

While computing the average profit, in addition to rectification of errors, the following adjustments are to be made:

Adjusted profit = Actual profit

+ Past expenses not required in the future

– Past revenues not likely to be earned in the future

+ Additional income expected in the future

– Additional expenses expected to be paid in the future

The average profit may be either simple average profit or weighted average profit.

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